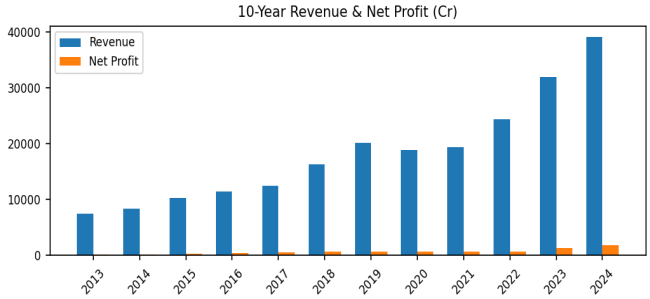
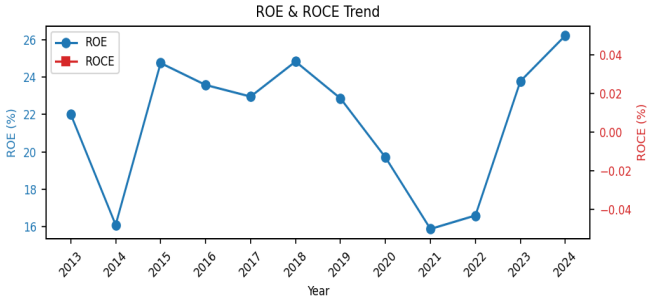
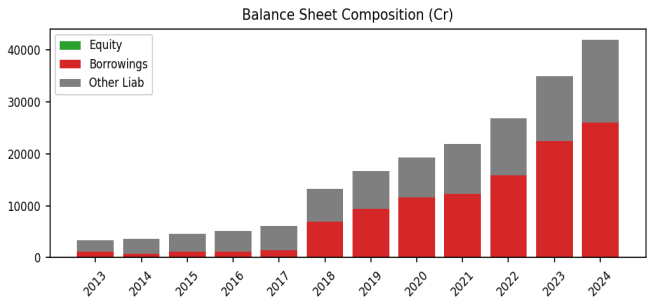
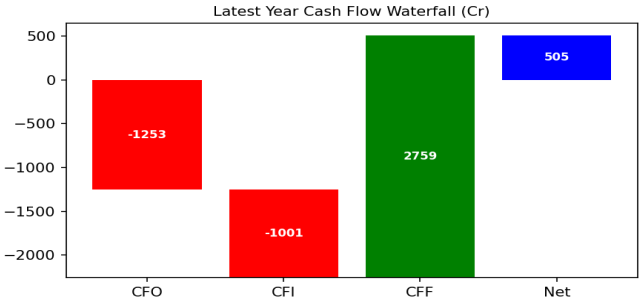
TVS Motor Company Ltd (TVSMOTOR)

Revenue	Net Profit	Total Equity
■3.9T	■1779Cr	■48Cr
ROE	**ROCE**	**D/E**
26.2%	-	3.83x









Pros	Cons
• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Debt-to-equity ratio of 3.8 is elevated for a non-financial company and warrants monitoring (Conf: 90%) • Free cash flow negative for 3 consecutive years raises concern about cash generation quality (Conf: 95%) • Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Growth Funded by Debt